

Funding Mechanisms and Democratic Oversight for a Human-Centric UBI

Introduction

Universal Basic Income (UBI) has gained attention as a way to ensure **human flourishing** by providing unconditional financial security. Designing a *viable and just* UBI requires careful thought about **how to fund it** and **how to govern it** so that it benefits everyone rather than being captured by elites. This report explores leading funding mechanisms – with a focus on AI productivity dividends, land-value taxes, and commons-based revenues – and evaluates their economic feasibility, political viability, and implementation challenges. It also examines governance models to prevent elite capture, including participatory budgeting, oversight councils, blockchain transparency, and rotating citizen representation. Real-world examples and case studies are included to illustrate these concepts in practice.

Funding Mechanisms for a Just Universal Basic Income

A sustainable UBI funding model should tap into broad sources of wealth in a way that promotes equity. Historically and currently, various proposals have been made to finance UBI. Table 1 summarizes some of the most-discussed funding approaches, and the sections below provide more detail on priority mechanisms.

Table 1. Comparison of Selected UBI Funding Models

Funding Mechanism	Notable Example/ Proposal	Pros (Justice & Feasibility)	Challenges (Economic & Political)
AI Productivity Dividend (Automation Tax)	<i>“Digital dividend”</i> : Tax on AI/robot productivity redistributed as income[1]. Sam Altman’s proposal: 2.5% tax on large companies’ value to fund an equity fund[2]	- Ensures AI-driven wealth is shared broadly, not only by tech owners[3][1]. - Could generate substantial revenue as AI adds trillions to the economy[3]. - Mitigates	- Defining and measuring “AI productivity” for taxation is complex. - Risk of corporate avoidance or offshoring if only some jurisdictions tax automation. - Politically

Funding Mechanism	Notable Example/ Proposal	Pros (Justice & Feasibility)	Challenges (Economic & Political)
Land-Value Tax (Universal Land Dividend)	<i>Georgist model:</i> Tax unimproved land value and distribute it equally. E.g. a 1% LVT in the UK could fund ~£16/week UBI[4]; U.S. land rents (~\$24 trillion) could fund ~\$3,500/year per person[5].	- Highly progressive: captures unearned wealth of landowners and benefits ~70–80% of the population[6]. - Rooted in justice: all people share a right to natural land value[7]. - Large potential revenue in high land value regions; can be implemented locally or nationally. - Counteracts rent inflation: taxing land helps prevent UBI from simply inflating land prices[8].	- Politically difficult: strong opposition from landowners and real estate interests. - Requires updated land assessments and administrative capacity to enforce. - UBI amount from LVT alone may be modest unless tax rates are high (which intensifies political resistance). - Likely needs gradual phase-in or to start at city/state levels due to national politics[5].

Funding Mechanism	Notable Example/ Proposal	Pros (Justice & Feasibility)	Challenges (Economic & Political)
Commons-Based Revenues (Natural Resource and Social Wealth Dividends)	<i>Natural resource dividends:</i> Alaska Permanent Fund (oil revenue) pays ~\$1,000–\$2,000 per person annually (e.g. \$3,284 in 2022)[9]. <i>Carbon tax & dividend:</i> \$70/ton global carbon price could yield ~\$2.5 trillion globally, ~\$28/month per person worldwide[10]. <i>Social wealth fund:</i> Invest public assets and distribute returns as UBI[11].	- Leverages <i>common wealth</i>: value derived from shared resources (oil, minerals, atmosphere, spectrum, etc.) is returned to all citizens as a “social dividend” [11]. - Demonstrated success: Alaska’s resource dividend has operated for decades, boosting equality and reducing poverty with <i>unconditional</i> payments[12][13]. - Popular across ideologies when framed as sharing resource rents (e.g. carbon dividends are backed by economists and bipartisan groups[14]). - Can supplement	- Volatility: resource prices or usage can fluctuate, making income unstable year to year[15][16]. - Finite resources: e.g. if carbon emissions drop (a positive outcome), that dividend shrinks[17] – requires shifting to other commons (like land, minerals, spectrum, data). - Risk of mismanagement or political raids on funds if not legally protected (some governments may try to use the fund for other budget needs, as seen in debates over the Alaska fund). - For global commons, requires unprecedented international

AI Productivity Dividends (“Technology Dividend”)

As AI and automation transform the economy, there is a growing call to redistribute a share of those productivity gains to the public. The core idea is to treat AI/robots as a new source of labor that can be **taxed** or charged a fee, with proceeds funding a UBI. Much like carbon pricing internalizes environmental costs, a “*digital dividend*” would ensure AI-driven wealth translates into shared prosperity[20][1]. For example, one proposal is a structured system where companies pay taxes or fees proportional to the productivity their AI “employees” achieve, and those funds are redistributed to all humans[1]. This concept, sometimes called a *Universal Productivity Dividend (UPD)*, mirrors how shareholders receive dividends – but here society at large would be the shareholder of automation’s benefits[21][22].

Funding mechanisms: To implement an AI dividend, several routes have been envisioned: (1) **Automation taxes** – a tax on the profits or cost savings attributable to replacing human workers[23]; (2) **Data usage fees** – since AI often relies on big data (much of it from the public), companies could pay a fee for commercial use of personal and aggregate data[24]; (3) **Robot licensing** – requiring firms to obtain licenses for deploying advanced AI/robots, with fees feeding a public fund[24]. Another related proposal from OpenAI’s Sam Altman is to create a national *American Equity Fund* by taxing ultra-valuable companies (above a certain valuation) 2.5% of their market value in stock each year, effectively socializing a slice of corporate wealth into a fund that pays every citizen[2]. These approaches treat technological progress as a common asset.

Economic feasibility: The potential revenue from an AI dividend grows as automation expands. Long-term AI investment has an estimated \$4.4 trillion in global growth potential[3]. Even capturing a fraction of this via taxation could fund a meaningful basic income. Unlike one-time wealth (which might be depleted) or narrow taxes, an automation tax could tap a growing pie – *if* the tax rate is calibrated not to stifle innovation. Some economists argue that because AI will dramatically raise output with less human labor, a universal dividend may become necessary to maintain consumer demand and social stability[25][1]. By sharing productivity gains, UBI can empower people to retrain, create, or work less while still thriving, truly leveraging AI for human flourishing.

Political viability: The concept of a “robot tax” or AI dividend is relatively new, and buy-in is not yet widespread. It faces lobbying resistance from tech companies and investors who benefit from automation. However, notable figures have floated the idea – for instance, Bill Gates once suggested taxing robots, and the EU parliament debated (but ultimately rejected) a robot tax in 2017. Public sentiment might favor an AI dividend as

fears of job displacement grow. The political narrative would emphasize fairness: if AI is a collective achievement (built on public research, data, and infrastructure), then its benefits should not flow only to a tiny elite[3][26]. Framing the dividend like a “tech era social contract” could attract support from both UBI proponents and those worried about AI’s impact. One challenge is implementation on a broad scale – if only a few countries tax AI, companies might relocate; thus, international coordination or at least a coalition of major economies might be needed for effectiveness.

Implementation challenges: Defining *what* exactly to tax in an AI dividend scheme is tricky. Options include an extra tax on corporate profits above baseline growth if due to automation, or fees per robot deployed beyond a company’s human workforce. There’s a risk of dampening innovation or creating perverse incentives (e.g. firms hiding automation gains). To mitigate this, taxes could be modest initially and increase over time, or exclude small businesses and focus on big tech and monopolies. Another challenge is enforcement and measurement – governments would need robust methods to assess how much of a company’s output is AI-driven. **However, with modern technology, even the tracking can be automated:** proposals suggest using AI itself to track digital productivity and trigger taxation and transfers automatically[27].

In summary, an AI productivity dividend is a forward-looking funding source aligning with justice: it directly channels the *fruits of innovation* to the people. It could help society embrace automation without fear, knowing that the gains will lift everyone’s standard of living. Yet, it remains largely theoretical at this stage, requiring further policy experimentation and global dialogue to become a reality.

Land-Value Tax (Georgist Land Dividend)

Using a **land-value tax (LVT)** to fund UBI is a modern adaptation of ideas from classical economists and philosophers who argued that land and natural resources are humanity’s common inheritance[7][28]. A land-value tax is levied on the unimproved value of land (ignoring buildings or improvements), and if the revenues are distributed equally to all residents, it creates a *Universal Land Dividend*. This approach is rooted in the principle that while individuals may work to create goods or services, “**men did not make the earth**”[7] – thus the value of land (which arises from nature and the community’s presence and development) rightly belongs to the community as a whole.

Historical and ideological context: The LVT+UBI combination traces back centuries. In 1797, Thomas Paine proposed a form of basic income funded by a ground rent on landowners, reasoning that private landownership deprives others of their natural inheritance and so landholders owe a rent to society[7]. Paine even suggested a national fund paying 15 pounds to every person at age 21 as partial compensation[7]. In the 19th century, Henry George galvanized this idea in *Progress and Poverty* (1879)

and later writings, arguing that a single tax on land values, with proceeds *divided equally among the whole community*, could abolish poverty without harming production[28]. This “*Citizen’s Dividend*” concept influenced many early UBI proponents[29][28]. The philosophical elegance is that **LVT automatically redistributes the unearned wealth that comes from social progress** – as society develops, land values rise, but an LVT-UBI ensures the rising tide lifts all boats[8].

Revenue potential and current proposals: Land-value taxation can raise significant revenue, especially in areas with high land prices. Recent analyses are promising:

- In **Canada**, a 17% land-value tax was estimated to fund a dividend of **\$12,700 per household**, raising incomes for 80% of families (only the richest 20% — major landowners — would pay more in tax than they get in UBI)[30]. This highlights the progressivity of LVT: it redistributes from high-wealth (land-rich) to the majority.
- In the **UK**, a modest 1% annual LVT on all land could fund a UBI of about **£16 per week** (≈\$20) for every individual, which would cut poverty by ~20% and leave 70% of people better off (again, only top landowners would net-contribute)[6]. Scaling up further could increase that dividend.
- For the **United States**, the total land value (excluding improvements) is roughly estimated at \$24 trillion. Capturing the *implicit rental value* of that land at, say, 5% could generate on the order of \$1.2 trillion per year — which equates to about **\$3,500 per year for every American**[5]. This isn’t a full poverty-level UBI, but it’s a substantial base to build on (and could be complemented by other taxes). Notably, this could likely be done *without* hurting economic output: taxing land doesn’t deter production or construction (land is fixed and can’t flee). In fact, LVT is often seen as an economically efficient tax (no deadweight loss) because it taxes only location value created by society.

Pros and feasibility: Funding UBI through LVT has several compelling advantages:

- **Equity and justice:** It aligns with the ethical view that the earth’s value should benefit everyone. It would directly reduce wealth inequality, since land ownership is typically concentrated. As cited above, the bottom majority of households would come out ahead, effectively “*distributive by design*”[8].
- **Progressivity without bureaucracy:** An LVT-funded UBI is universal and unconditional on the benefit side, yet naturally progressive on the tax side. There’s no need for invasive means-testing; the mechanism inherently transfers income from (usually richer) landowners to renters and the land-poor.
- **Countering cost inflation:** A common worry about UBI is that landlords might increase rents, capturing the benefit. LVT preempts this by taxing away the rise in

land rents. In other words, if UBI boosts people's income and thus housing demand, land prices might go up – but then the LVT rises and recycles that value back to the public. This creates a virtuous feedback loop that keeps housing affordable while still delivering net benefits to renters. Guy Standing, a UBI advocate, notes that such a policy makes the economy “*distributive by design*,” *ensuring social gains don't just capitalize into higher land prices*[\[8\]](#).

- **Local adaptability:** While a national LVT might face hurdles, cities or states can implement their own. The example of Denver, Colorado, shows a city-level approach: the Denver region's land value (~\$185 billion) could support a dividend around \$275 *per month per person* if fully taxed[\[31\]](#). Indeed, the U.S. Alaska model started at a state level. This makes LVT a candidate for gradual roll-out in more politically amenable regions.

Political and implementation challenges: Despite its merits, an LVT faces significant political resistance. Landownership is often equated with wealth and influence; thus, an LVT can expect pushback from real estate developers, wealthy homeowners, and even farmers unless carefully framed (some proposals exempt agricultural land or primary residences up to a point to gain acceptance). Politically, the idea of a hefty land tax may be unpopular among middle-class homeowners, who fear it could lower property values or be a new burden – even if many would get the money back via UBI. This challenge can be addressed by emphasizing the *net* effect (e.g. most non-wealthy people would come out ahead, as studies show[\[4\]](#)) and possibly phasing the tax in gradually.

Technically, implementing an LVT requires up-to-date land assessments. Many countries have outdated or uneven property valuation records. Governments would need to periodically appraise land values separately from buildings, which is a doable but non-trivial administrative task. Success stories exist (e.g. some cities like Hong Kong and Singapore effectively derive much revenue from land leases/taxes, though they use it for services rather than UBI). Ensuring transparency and fairness in assessments would be key to avoid corruption – interestingly, tying it to UBI might help build public support for honest assessments, since everyone's dividend depends on fully capturing land rents.

Another challenge is **constitutional or legal**: in some jurisdictions, introducing a new tax of this magnitude might require constitutional amendments or at least overcoming claims that it's a form of wealth redistribution. The rich will lobby that it's radical; yet, proponents can counter that forms of LVT already exist (property taxes) and this is simply focusing taxes on the fairest base (land value). It may be more feasible to start by replacing existing property taxes with a pure land tax, then increasing it to fund UBI.

In conclusion, an LVT-funded UBI (the Universal Land Dividend) is often seen as a “win-win” by reformers – it tackles inequality, encourages productive land use, and can provide a steady income floor. It realizes the old idea that **the rent of the earth should be the inheritance of all**. The main obstacles are not economic but political: educating the public on its benefits and overcoming vested interests. Historical experience suggests that when communities understand the link (like Alaska’s populace fiercely defends their oil dividend), a common dividend can become very popular, creating a constituency for itself over time.

Commons-Based Revenue Streams (Natural and Social Commons)

Beyond land, there are other **commons-based revenue** ideas for funding a UBI. These involve capturing the value of shared resources or public goods – often resources that are currently under-priced or monopolized – and redirecting it to citizens universally. This category includes natural resources like oil, gas, minerals, the atmosphere’s capacity to absorb carbon, the electromagnetic spectrum, and even “**social commons**” like financial systems or data networks. The unifying principle is that these are forms of wealth that *no individual created*, but which generate enormous private profits under current systems. By treating them as commons, society can levy charges (taxes, fees, royalties) on their use and distribute the proceeds as a **social dividend** or common wealth dividend.

Natural resource dividends: The most famous example is the **Alaska Permanent Fund Dividend (PFD)**. Since 1982, Alaska has saved a portion of its state oil revenues in a sovereign wealth fund and paid out the investment earnings to every resident each year. Payouts have varied with oil returns – from as low as ~\$331 in the 1980s to a high of \$3,284 in 2022 (which included a one-time energy relief bonus)^[9]. In recent years, the dividend has typically been around \$1,000–\$1,600 per person annually. While this is not a full living income, it is essentially a *universal basic income in miniature* – no strings attached, every eligible Alaskan gets it. Notably, it has been credited with making Alaska one of the **least unequal** states in the U.S.: “*It has helped Alaska attain the highest economic equality of any state in the United States... providing unconditional cash assistance to needy Alaskans at a time when most states have scaled back aid*”^{[12][32]}. The political durability of the PFD is instructive: it is extremely popular across the population, creating a broad base of support that resists attempts to cut it. This shows that a commons dividend, once in place, can be resilient and seen as a right. Other regions with natural-resource wealth have considered or implemented similar ideas – for instance, **Mongolia** briefly had a Human Development Fund paying cash from mining revenues (though it faltered due to volatile commodity prices and political shifts), and **Macau** gives its residents a small yearly “wealth partaking” cash stipend from casino and land lease revenues.

Environmental commons (carbon dividends): Another promising commons-based funding source is charging for use of the environmental sink – particularly, putting a price on carbon emissions to combat climate change, and returning those funds to the public as a “carbon dividend.” This approach has garnered support from economists across the spectrum. In fact, over 3,000 U.S. economists (including Nobel laureates) signed a statement advocating a carbon tax with **all revenue rebated per capita to citizens**[\[14\]](#). The appeal is that it’s progressive (on average, low-carbon-footprint households come out ahead, and it offsets higher energy prices) and politically can build a constituency for climate action (people receive checks). Canada and Switzerland have implemented versions of this: for example, Canada’s federal “Climate Action Dividend” returns carbon tax revenue via quarterly checks to households.

On a *global* scale, a carbon dividend is particularly attractive for equity. Climate change is a global problem requiring a global solution[\[18\]](#). A bold proposal is to have a **global carbon fee and dividend** system: fossil fuel companies worldwide would pay a fee for every ton of carbon they extract, into a global fund, which then pays *every person on Earth* an equal dividend. Such a system would ensure that those who pollute and use the global commons compensate those who don’t. An analysis suggests that if a carbon price of about \$70/ton was applied globally (roughly what the IMF says is needed for 2°C climate stabilization), it could raise on the order of **\$2.5 trillion in the first year**, which is enough to pay about **\$28 per month to every person in the world**[\[10\]](#). As carbon use is ramped down over time (to address climate change), the dividend would gradually decrease – perhaps to around \$12 per month after five years if emissions fell sharply[\[10\]](#). While \$28/month (and later \$12) is small, for billions of people in poorer countries it would be life-changing[\[33\]](#), and even for others it’s a tangible supplement and a proof of concept of a *World Basic Income*. Importantly, such a global commons approach has a moral logic: the atmosphere belongs to everyone, so any charges for its use should be shared by everyone[\[33\]\[34\]](#). It avoids the perverse outcome of national carbon taxes where, say, only rich high-emitting countries get the money back – instead, even someone in a low-emitting country gets the same share, effectively transferring wealth from high polluters to low polluters (who are often poorer)[\[35\]\[19\]](#). Of course, implementing this would require international agreements at the highest level, which is challenging – but the *idea* is in line with global justice and has active proponents in the “global basic income” movement.

Beyond carbon, many other *global commons* could be tapped: the oceans (e.g., fees for deep-sea mining or fishing in international waters), **international airspace**, and **satellite orbital slots** (companies currently use these essentially for free), and the electromagnetic spectrum for global communications[\[36\]\[37\]](#). Even patent pools or financial transaction networks have been imagined as sources of commons revenue. Each of these would involve identifying a common resource, charging those who profit

from it, and sharing the revenue. For example, auctioning a portion of broad financial transaction taxes globally and pooling the proceeds, or requiring a contribution from central banks' money creation (some have whimsically suggested "quantitative easing for the people"). While these are speculative, they paint a picture of many streams that could collectively fund a robust UBI, especially at the global level.

Social and digital commons: In the digital age, **personal data** has been called the new oil – and it's largely generated by people's online activities yet harvested by big tech companies. Some have suggested *data dividends* or establishing data trusts that collect payments from companies (like Google, Facebook, etc.) for using our data, then pay out to users/citizens. For instance, California's Governor floated the idea of a "data dividend" for Californians. In a broader sense, large portions of the economy (finance, knowledge, etc.) rely on collective inputs and public infrastructure. Oshan Jarow, in discussing UBI funding, lists **data dividends and rental revenues on collectively owned assets like broadband spectrum rights or a public Social Wealth Fund** alongside wealth and carbon taxes as sources for a *social dividend* layer of UBI[\[38\]\[11\]](#). The concept of a **Social Wealth Fund** (SWF) deserves note: this is essentially creating a diversified investment fund owned by the public (capitalized by various means – could be taxes on wealth, or profits from state-owned enterprises, etc.) and paying each citizen a dividend from the returns. Norway's oil fund is an SWF (though it doesn't pay out directly to citizens, it funds public services); advocates like economist Matt Bruenig have proposed the U.S. create a national SWF that could eventually pay every American a modest dividend, making them all *co-owners of the nation's capital stock*. This approach treats *capital itself* as part of the commons when accumulated in a public fund.

Feasibility and challenges: Commons-based funding schemes often have the advantage of targeting **unearned or non-labor income**, which can minimize economic distortion. For example, taxing resource extraction (like oil or minerals) doesn't discourage work effort of citizens; it mostly captures resource rents that would otherwise line corporate/state coffers. Similarly, spectrum auctions or carbon fees are one-time or usage-based and don't reduce the supply of those resources (they just price them). So economically, many commons taxes are efficient. They also often have co-benefits: a carbon tax reduces pollution; spectrum fees encourage efficient spectrum use, etc.

However, the challenge is **volatility and sustainability**. Natural resources can swing in price – Alaska had to cope with years where oil revenues fell and political fights over the dividend ensued. A carbon dividend, as noted, is self-eroding if it works (though humanity might gladly trade a smaller dividend for a livable planet, the transition has to be managed). This implies that a UBI relying heavily on one resource needs either (a) a buffer fund to smooth out the payments, or (b) a plan to continually introduce new

commons revenues as old ones diminish (the Ecologist article suggests exactly this: as carbon dividends decline, expand the system to other commons like ocean fees, etc. [\[17\]](#)[\[36\]](#)). Alaska addresses volatility by using a **5-year average of fund earnings** to calculate the dividend[\[15\]](#), buffering ups and downs, and by **constitutionally protecting the principal** of the fund (only earnings can be paid)[\[16\]](#). Such design lessons are crucial for any commons-based UBI.

Politically, commons-based dividends can be very appealing to the public (“free money” from something collectively owned) but threatening to existing power structures. For instance, fossil fuel companies would fiercely fight a global carbon fund, and governments of resource-rich nations often prefer to control revenues themselves rather than give directly to citizens (patronage reasons). Yet there are cases of success when the idea is framed in popular terms: Alaska’s dividend survived because it was sold not just as a savings vehicle but as a way to ensure the oil belonged to *the people*. Likewise, carbon dividends have gained traction in policy circles by stressing fairness and the popularity of dividends to offset costs.

One more challenge is **distribution logistics** – but that’s actually simpler for universals than targeted programs. Alaska uses a straightforward application to verify residency and then direct deposits the money. For a broader commons UBI, especially global, one would need systems for identifying and paying everyone (perhaps leveraging digital IDs or platforms like mobile money). Technologies like blockchain (discussed later) could even help distribute a global dividend transparently. The existence of global payment networks and experiences like cash transfers in developing countries show it is technically feasible to get money to billions of people if the money is there.

In summary, commons-based revenue streams present a compelling route to fund UBI in a way that feels inherently *just*: they transform what are currently privileges (corporate profits from shared resources, pollution rights, etc.) into a source of universal benefit. They embody the idea that “the commons” – whether land, air, or data – should pay for the common good. While no country has yet funded a full UBI solely from commons revenues, experiments and partial models (Alaska, carbon dividends, social funds) indicate it can work and even improve governance (by reducing corruption and conflict over resource rents). The key is building the political will and international frameworks to expand these models, and ensuring robust oversight so that the funds truly reach the people (and are not captured by elites – a concern we address next).

Governance and Oversight to Prevent Elite Capture

Establishing funding for a UBI is only half the battle; equally important is **how the program is managed and protected** over time. *Elite capture* refers to the scenario where a policy meant for the broad public is co-opted by a small group – whether

through corruption, manipulation of rules, or diversion of benefits. Traditional welfare programs often face issues like means-testing being administered by gatekeepers who might favor certain groups, or funds being siphoned by local power brokers. One advantage frequently cited for UBI is that it's **universal and simple**, leaving less room for such manipulation (everyone gets the same, so there are no eligibility games to play). However, large financial flows (like a national UBI fund) can still be mismanaged or eroded by political interests if not safeguarded. For UBI truly to contribute to human flourishing and equity, its governance should embody *transparency, public participation, and accountability*.

A range of governance models and tools can help ensure that UBI programs remain in the hands of the people. These include **participatory budgeting, local oversight councils, blockchain-backed transparency systems**, and **rotating citizen representation** in decision-making. Many of these approaches have proven effective in related domains, and they could be adapted to UBI. Below, we explore each and highlight case studies or examples where available.

Participatory Budgeting: Citizen Voice in Allocation

Participatory budgeting (PB) is a democratic process in which citizens directly decide how to spend part of a public budget. It began in Porto Alegre, Brazil, in 1989, where ordinary residents started voting on municipal investment priorities. The results were remarkable: resources were channeled to underserved neighborhoods (e.g. expanding clean water access and schools in poor areas) and local government became more accountable. Key outcomes of Porto Alegre's experiment included "*including the poor in decision-making*" and "*breaking [the] clientelistic budget allocation*" in favor of needs-based distribution^[39]. In general, PB is credited with **nurturing engaged citizens, building trust, and reducing corruption**, since people can track where money is going and it's spent where they themselves prioritize^[40]. It effectively shifts power from elites or technocrats to the people on fiscal matters.

Applying PB to UBI: A UBI by definition is a fixed cash payment to individuals, so one might ask: what is there to "budget" in a UBI (since everyone gets their share, there's no choice about that)? There are a few ways participatory principles could still apply:

- **Setting UBI Amounts or Adjustments:** Citizens could be involved in deliberating and recommending changes to the UBI level over time, balancing it with other social spending. For example, if there's a surplus in the UBI fund one year, a participatory process might decide whether to increase the dividend or invest in complementary public services (since human flourishing depends on both cash and services). Essentially, **co-governance of the UBI scheme**. Jarow suggests that when a social dividend (like from fluctuating commons revenues)

exists, it creates an incentive for citizens to scrutinize other government spending – since every dollar to the budget is one less to their dividend, people will demand that government spending be justified over simply getting cash[\[41\]\[42\]](#). Participatory budgeting could be the venue for that oversight, promoting citizen involvement in *all* public spending decisions in light of the alternative of direct cash.

- **Local UBI initiatives:** If a city or region implements its own basic income (as some are piloting), involving residents in the design and review of the program can prevent local officials from manipulating it. For instance, in designing eligibility (if it's not fully universal) or the mode of payment (digital, local currency, etc.), a participatory process can ensure it fits community needs rather than top-down convenience.
- **Complementary community funds:** Some UBI proposals include a *community dividend* portion – e.g. a part of the fund is set aside for communal projects that enhance human flourishing (like libraries, parks, etc.) alongside individual stipends. Citizens could directly allocate that communal portion through PB. This way, UBI is embedded in a larger ecosystem of participatory democracy, marrying *individual empowerment with collective decision-making*.

Benefits for preventing elite capture: Participatory budgeting shines in keeping officials and elites honest. Since allocations are decided in open forums or votes, there's little room for a politician to secretly divert money to pet projects or cronies – everyone can see where the money went because *they decided it*. In Porto Alegre's case, PB *"has been recognised as an efficient way to use public resources and improve fiscal performance..., including the issue of reducing corruption."*[\[40\]](#). Citizens essentially serve as overseers of the purse. If a UBI fund had a participatory oversight element, it would be far harder for any group to, say, misreport the fund's income or misallocate payments – the public would be actively monitoring and discussing the figures.

Case example: While no UBI-specific PB exists yet, we can draw parallels. The city of *Maricá, Brazil*, which we'll discuss further later, not only implemented a basic income but also has a strong culture of participatory governance in its social programs. Maricá's basic income is part of a broader solidarity economy approach that includes things like a local development council and community bank involvement. The **increased political participation** observed in Maricá after the UBI rollout (a 17% reduction in election abstention, indicating citizens became more engaged[\[43\]](#)) suggests that giving people a stake in economic security can boost democratic engagement. With PB, that engagement is channeled into concrete budget choices. Cities like *Seoul* and *Paris* that have done participatory budgeting for general city funds show it is scalable – Paris lets citizens propose and vote on how to spend around 5% of its budget on various projects.

Imagine if citizens similarly voted on certain parameters of the UBI program – it would cement the idea that UBI is *their program*, not a charity from above, thus shielding it from political whims.

In summary, participatory budgeting can act as an **antidote to elite capture by crowdsourcing oversight**. It aligns the program with citizens' real priorities and creates transparency. Any attempt by an elite group to alter the UBI in their favor would face the hurdle of public debate and vote. This democratic involvement is crucial for a UBI intended to serve human flourishing, as it treats recipients as active stakeholders, not passive beneficiaries.

Independent Oversight Councils and Trusts

Another governance approach is to establish formal **oversight bodies** or trustees that manage the UBI fund and program with a mandate to serve the public interest. The idea is to create some institutional insulation from day-to-day political pressures or from influence by wealthy interests, while still being accountable to citizens.

Structures and examples:

- **Sovereign Wealth Fund Boards:** Take the **Alaska Permanent Fund Corporation (APFC)** as an example. The fund is managed by a state-owned corporation with a Board of Trustees. By statute, the board has six members, four from the public (often required to be finance experts) and two heads of state departments[\[44\]](#)[\[45\]](#). They are appointed by the governor but supposed to act independently and with fiduciary duty. This structure has helped maintain a long-term perspective (the fund survived numerous administrations). There is ongoing discussion in Alaska about improving governance – for instance, a 2025 review recommended increasing public membership and oversight on the board to further protect the fund from political meddling[\[46\]](#). The lesson here is that having a semi-independent fund management (akin to a central bank or pension fund) can reduce the temptation for politicians to raid the piggy bank or skew the distribution. Any UBI funding mechanism that involves accumulating a fund (like resource revenues or investments) could benefit from a similar trust structure.
- **Citizen Oversight Committees:** In more localized implementations, one can form committees of citizens to monitor UBI distribution. For example, a city running a basic income pilot might appoint a **Citizen Advisory Board** that includes community leaders, participants, and independent experts. This board could review quarterly reports, handle complaints, and issue public reports on the program's effectiveness. This kind of citizen oversight has been used in other contexts, like police oversight boards or school budget oversight committees, to bring transparency.

- **Audit and Transparency Requirements:** Ensuring regular independent audits of the UBI program's finances (with results made public) can deter elite capture. If the oversight council has the power to audit and even trigger investigations, that's a strong check. Some proposals suggest that UBI could be managed by an entity with a **legal charter** emphasizing the rights of citizens to the funds – somewhat like how Social Security in the US, while not run by an independent board, is at least somewhat politically insulated by its popularity and trust fund accounting.

Rotating or diverse representation: To avoid the oversight body itself being captured, it's important that it not be composed solely of political appointees or the economic elite. A mix of stakeholders can be included: e.g., representatives of labor, civil society, perhaps randomly selected citizen representatives (overlapping with the next section on sortition). Rotating members periodically (with staggered terms) can prevent entrenchment. For instance, a **rotating citizen oversight panel** could be convened each year to review the UBI's performance, with members chosen by lottery from the population (possibly similar to how juries or citizens' assemblies are selected). This would inject fresh perspectives and make it statistically hard for any one faction to dominate consistently.

Preventing capture: An oversight council's effectiveness depends on its authority and independence. If well-designed, it can act as a guardian of the UBI. Consider a scenario: suppose an unscrupulous government wants to redirect UBI funds to other projects or only give UBI to certain groups. A strong oversight entity could blow the whistle by informing the public (since all citizens are stakeholders, they would likely protest). It could even have legal teeth, e.g., requiring legislative approval for major changes and providing analysis on how those changes affect the people.

One real example of elite capture risk is in countries that tried large cash transfers: **Iran**, for instance, replaced subsidies with a universal cash credit around 2010. Initially it was universal, but over time budget pressures and lack of institutional protection led the government to start excluding higher-income people and devalue the payments via inflation. There wasn't an independent body ensuring the program stayed truly universal or was adequately funded. Learning from that, a UBI should ideally be protected by mechanisms like an oversight council or even constitutional provisions (e.g., "all citizens have the right to X basic income, funded by Y"). In Brazil, interestingly, a law declaring intent to phase in a Citizen's Basic Income was passed in 2004 (it hasn't fully materialized nationally yet, but it gives a legal framework).

Case studies:

- *Alaska* – The **Alaska Permanent Fund** is often cited as a case where elite capture has been mostly avoided: the payout formula was set, and an independent corporation manages the investments. However, even Alaska had instances in recent years where the state legislature capped the dividend to use some earnings for the budget, showing the need for constant vigilance and possibly stronger rules. Public backlash in Alaska against those moves indicates how a well-informed citizenry (receiving annual statements about “their” dividend) can push back on elite decisions.
- *Local Councils* – Some UBI pilots incorporate community input. The **Denver Basic Income Project** in the U.S. (a privately-funded pilot) partnered with the city and had community organizations involved; while not exactly an oversight council, it engaged local voices to ensure the experiment was run fairly and transparently. In South Korea’s **Gyeonggi Province Youth Dividend**, while there wasn’t a formal council, the program was implemented by the provincial government with significant public communication and it was simple enough to leave little room for favoritism (every 24-year-old got the quarterly stipend on a debit card).

To implement an oversight council model, one approach is to encode it in law that UBI funds are managed by a public trust. For example, a **National Basic Income Trust** could be established, with a board that includes government officials *and* citizen representatives, operating under clear guidelines (pay the UBI monthly, adjust only with certain triggers, etc.). The trust’s accounts would be public, and any deviations would require public justification. This kind of governance provides stability and can reassure taxpayers and recipients alike that the UBI isn’t a political football.

Blockchain and Technological Transparency

Leveraging **blockchain technology** is a modern strategy to enhance transparency and trust in UBI distribution. Blockchains are essentially public ledgers – by using them to record and execute UBI payments, we create an *open book* that anyone can inspect, ensuring funds aren’t secretly misallocated. Several projects and pilots are already exploring blockchain or cryptocurrency for basic income, not only for efficiency but explicitly to address corruption and transparency issues.

Transparency and accountability: A blockchain-based UBI system could publish every transaction (albeit pseudonymized for privacy) in real-time. For example, if a UBI is paid in a crypto-token or stablecoin, every wallet’s monthly payment is an entry visible on the ledger. This means **any observer can track the aggregate outflows** and ensure that the total money going out matches what it should, and that no additional “ghost recipients” are being paid. It *“makes it easy to track where funds go and how*

they're used," holding managers accountable[47]. Compare this to traditional systems where one must trust government accounts (which might be opaque or subject to manipulation). Blockchain's public nature builds trust that the rules are being followed because violations would be evident to all.

Furthermore, smart contracts (self-executing code on blockchain) can be used to automate the UBI distribution. Once the rules (e.g., X currency units to each verified ID every month) are encoded, it runs without needing an official to initiate each transfer[48]. This reduces the opportunity for human error or interference – no official can "delay" payments for certain people or divert money elsewhere, because the code handles it impartially. The **automation** also lowers administrative costs and speed: one project (*GoodDollar*) has over 300,000 users worldwide receiving daily micro-UBI via smart contract, with minimal overhead[49]. Similarly, *Circles UBI* in Germany uses personal blockchain tokens and trust networks to distribute a form of UBI continuously, governed by code[50].

Preventing elite interference: With blockchain, even if the UBI fund is managed by some authority, the disbursement mechanism can be made tamper-resistant. If programmed correctly, not even a government minister could siphon off funds unnoticed, because the ledger would show an unauthorized transaction. It's like having a public audit happening live with thousands of eyes (nodes) on it. In environments where corruption is a concern, this is powerful. For instance, in refugee camps or NGOs, using crypto payments has ensured aid money reaches recipients directly, bypassing corrupt intermediaries. In Kenya's Kakuma refugee camp, a pilot delivered UBI in a dollar-pegged cryptocurrency (cUSD) via mobile phones, ensuring refugees got the full amount even amid local currency inflation[51]. Because the system was transparent, donors could verify the money went to wallets controlled by verified refugees.

Case example: A notable pilot is in **Medellín, Colombia**, where a project provided a basic income in a local stablecoin (cCOP). All disbursements were recorded and viewable on a *public dashboard* using the Dune analytics platform[52][53]. This dashboard let anyone see exactly how much had been distributed and to how many people, thereby building trust with the community and funders. Recipients themselves could verify their payment on the blockchain, giving them confidence the system is fair (if they see everyone else got the same, no favoritism).

Another project, *ImpactMarket* (now *Pact*), allowed supporters to deposit crypto in lending protocols and automatically funnel the interest to UBI for communities via smart contracts[54] – again, all visible on-chain, so supporters saw proof of impact. These innovations hint at how a national government could also employ technology: for example, a country could issue a **CBDC (central bank digital currency)** or token for

UBI, where each citizen has a digital wallet. Every month the smart contract credits their wallets. The ledger (with privacy safeguards) could be audited by civil society in real-time. If any anomaly occurs – say extra tokens minted without authorization – it'd be publicly logged, raising an immediate red flag.

Challenges and mitigation: Of course, blockchain is not a magic bullet. Issues include digital access – not everyone has the technology or literacy to use crypto. However, solutions exist: wallets can be made user-friendly (integrated with mobile SMS, etc.), and hybrid models can combine blockchain back-end with a familiar front-end (like a debit card). Identity verification is another challenge: ensuring each person only registers once for UBI. Some projects tie blockchain UBI to biometric ID or social verification. For instance, Worldcoin (controversially) is scanning irises to create unique digital IDs for future UBI distribution. Less invasively, a government could still use its standard ID system but record the ID-to-wallet mapping securely.

The *decentralization* aspect is also key: a truly decentralized UBI (like a global one) might not rely on any single government. Instead, it could be managed by a decentralized autonomous organization (DAO) where token holders (or representatives) vote on policies. This reduces single-point elite control – though one must ensure the DAO itself doesn't get dominated by big token holders (a governance design issue). GoodDollar, for example, is backed by a non-profit and intends to evolve to community governance.

In summary, blockchain-backed systems offer **unprecedented transparency**, automating honesty into the distribution of UBI. They can deter and detect elite capture by making the flow of funds visible and governed by open code. While not a replacement for good policy, they are a powerful tool in the toolkit for “**UBI with integrity**”. As one analysis put it, *“Trust is crucial for UBI's success. Blockchain's transparency means everyone can see how funds are being distributed and used. This level of openness keeps all stakeholders honest.”*^[55] It aligns well with the goal of empowering citizens – the money reaches individuals directly and visibly.

Rotating Citizen Representation (Citizens' Assemblies and Sortition)

To keep UBI governance close to the people, some advocate involving ordinary citizens *selected by lottery* (sortition) in oversight and decision roles. This method, used in ancient Athenian democracy and seeing a revival today, helps prevent elite domination because selection is random and not limited to the powerful or well-connected. Rotating citizen bodies can deliberate on policies and provide guidance or binding decisions.

How it works: A **Citizens' Assembly** on UBI could be convened, for example, to debate how to structure the UBI or adjust it. It would consist of, say, 100 citizens

randomly selected to mirror the broader population's demographics (to ensure diversity). They would receive information, hear from experts, and then make recommendations or decisions. Because they are not career politicians and have no incentive other than the common good (they're not running for re-election or lobbying), their decisions tend to reflect the public interest more. Such assemblies have been used to break political deadlocks on complex issues (Ireland used one for same-sex marriage and abortion laws, France for climate policy, etc.).

For UBI oversight, one could imagine a **permanent Citizens' Council on Basic Income**. Members could serve staggered terms of a year or two, after which new members are randomly chosen. This council could have various roles: reviewing the performance of the UBI program, suggesting changes (like adjusting the amount relative to cost of living), or even having veto power over proposals that might undermine UBI. Because it rotates, it's hard for any narrow interest to influence it consistently – one year's council might include a farmer, a teacher, a tech worker, a retiree, etc., all bringing their perspectives.

Preventing elite capture: Sortition is explicitly about **equality of voice**. Every citizen has an equal chance to be picked. This counters the tendency in normal politics where elites (wealthy donors, career politicians) hold sway. By institutionalizing citizen panels in UBI governance, the program is continually viewed through the eyes of regular people. If an elite group tries something fishy – say proposing that UBI be delivered in a way that benefits a corporation (perhaps via certain financial intermediaries) – a citizens' panel is likely to call it out, as they're not beholden to that corporation. It injects a layer of *common-sense, real-life accountability*.

Moreover, involving citizens at this level increases public trust. People tend to accept decisions if they know folks like them were in the room deliberating. That trust can help shield UBI from polarizing political attacks (e.g., claims that "UBI is a government scheme to XYZ"). If citizens themselves endorse the policy design, it's more robust.

Case or analogy: While no country has a citizens' assembly for UBI yet (since UBI itself is in pilot stages in most places), there are relevant analogies. In France, the Citizens' Climate Convention (150 randomly selected citizens) came up with bold measures for reducing emissions. Imagine a Citizens' Income Convention doing the same for social policy. They might tackle questions like "How do we fund UBI fairly?" or "What level should UBI be set at to maximize well-being?". Their answers could carry weight with the government or even be put to a referendum. In East Belgium, a permanent citizens' council advises parliament, showing that an institutionalized sortition body is feasible.

Additionally, sortition could be used in *appointing oversight board members*: instead of the government appointing all members of a UBI trust or board, some number of seats could be filled by lottery from a pool of qualified volunteers. For example, three seats on the National UBI Commission could be everyday citizens drawn like jury duty, serving one term. This would directly put non-elites in the governance mix alongside experts.

Rotating roles: The rotation aspect (say a portion of members rotate out each year) ensures continuity but also dynamism. Elites can sometimes co-opt individuals over time (through persuasion, bribery, etc.), but if the individuals change frequently, it's much harder to capture the institution. It's a moving target.

Ensuring effectiveness: Of course, citizens' assemblies need access to good information and expert facilitation to be effective – you can't just throw random people without support. The success of this model requires transparency (so the public can follow and trust the process) and that policymakers respect the assembly's outputs. One could formalize the power by, for instance, requiring that any major change to the UBI program (like cutting the amount or adding conditions) must be reviewed by a citizens' panel and/or approved by popular vote. This acts as a safeguard against an elite-driven rollback of UBI.

In sum, rotating citizen representation brings **democratic control** to UBI. It operationalizes the idea that UBI is *by the people, for the people*. By giving randomly selected citizens an ongoing voice, it minimizes professional politicians' or interest groups' ability to distort the program. This model aligns UBI with broader movements to deepen democracy and can help ensure that the policy truly reflects the will and needs of the populace over time.

Case Studies: Democratic Control in Action

It's helpful to look at concrete **examples of implementations** that align with equity and democratic governance, even if they are partial, to learn how UBI or similar programs fare under different oversight models:

- **Maricá, Brazil – Local Basic Income with Community Oversight:** Maricá, a city of about 160,000, launched the *Renda Básica de Cidadania* (Citizens' Basic Income) for its residents, funded largely by royalties from offshore oil (a commons resource). As of 2019, it reached over 42,000 people – roughly a quarter of the population (targeting low-income households)[\[56\]](#)[\[57\]](#). What's unique is *how* Maricá implemented it. The benefit is paid in a local digital currency, the **Mumbuca**, which can only be spent in local businesses, thus empowering the community economy[\[57\]](#)[\[58\]](#). The program is administered by a **community development bank (Banco Mumbuca)** and overseen by the city's

Secretariat of Economic Solidarity[59][60]. This structure ensures that the money circulates locally and that local stakeholders (through the community bank) have a hand in managing it. The Mumbuca Bank, being community-driven, increases accountability – it's not a distant bureaucrat but a local institution that people trust. The effects have been positive not just economically but civically: Maricá saw a **52% growth in formal employment** (the highest in its state) a few years after expanding the basic income[61], and also a notable **increase in political participation** (17% less abstention in elections compared to similar cities) after the UBI was introduced[43]. This suggests that the basic income, by boosting livelihoods, also motivated citizens to engage more in their governance (perhaps out of appreciation or a sense of empowerment). While Maricá's program is not fully universal (it's targeted to those under a certain income), it offers a model of commons-funded basic income with **local oversight and participatory elements**. Citizens are aware of the program's impact – it's part of a broader participatory governance ethos in the city, which also provides free public transport and other benefits. The risk of elite capture here is mitigated by the facts that (a) the **funding source** is transparently the city's oil royalties (not arbitrary taxes subject to hidden deals), (b) the **distribution mechanism** is a local currency managed with civil society involvement, and (c) the **city leadership has a political mandate of solidarity** (the Workers' Party governs Maricá and instituted these reforms with popular backing). The Maricá case shows that when a basic income is treated as a community effort – even branding the currency uniquely – it can build social buy-in and accountability.

- **Alaska, USA – Permanent Fund Dividend (PFD):** We've discussed Alaska's dividend as a funding model, but it's also instructive from a governance perspective. The PFD's success owes much to its **firewall design**. Oil royalties are not directly spent by politicians; they flow into a *constitutionally established fund*, managed by professionals. The dividend formula (five-year average of fund returns, etc.) was set in law[15] to reduce discretionary tinkering. Importantly, every citizen expecting their yearly check serves as a watchdog. Any attempt to alter the dividend draws public scrutiny and often ire. For example, when Alaska's governor in 2016 vetoed part of the transfer to dividends (halving the check amount to save money for the budget), it was highly controversial[62]. Citizens saw it as *their* money being taken. This public ownership mindset is a powerful check on elite decisions. It's a case where universal distribution created a political constituency that spans rich and poor – aligning everyone's interest in safeguarding the fund. That said, Alaska has recently been grappling with fiscal strains and political battles over the formula, illustrating that no design is foolproof. Some have proposed further insulating the dividend (e.g., a

constitutional amendment to mandate a certain split of fund earnings to dividends). The key takeaway is that **transparency and universality** protected Alaska's UBI-like program: because everyone gets it, it's hard for any small group to argue it should be cut without facing backlash from all quarters. The governance by an independent corporation and public trustees adds a layer of professionalism – decisions about the fund's investments aren't subject to election cycles. For any larger UBI program, similar institutions (like a Basic Income Authority or Fund) could be established to administer it with a long-term view.

- **Participatory Budgeting in Porto Alegre – Empowering the Marginalized:** Though not a UBI, Porto Alegre's participatory budgeting (PB) is a classic example of preventing elite capture of public resources. Before PB, the city budget was controlled by local political elites often favoring certain districts. With PB, *citizen delegates from each neighborhood* convened to decide spending on infrastructure and services. As noted, the result was a far more equitable distribution – slums got paved roads and water, etc., which elites had long neglected. The process was highly transparent (meetings open to all) and each year the cycle repeated with new input[\[63\]](#)[\[64\]](#). This shows that given real power, citizens will allocate resources in inclusive ways that technocrats or elites might not. Translating this to UBI, one could imagine a portion of UBI funds (especially if they're local or state-level) being subject to citizen deliberation – perhaps deciding UBI increments or how to integrate UBI with existing local welfare programs. Porto Alegre's model has been exported worldwide (over 3,000 cities have tried PB in some form), proving that citizen oversight at scale is doable and tends to **prioritize common good over narrow interests**[\[65\]](#).
- **Cryptocurrency UBI Projects – Transparency and Global Reach:** Projects such as **GoodDollar**, **Circles UBI**, and **Manna (formerly Grantcoin)**, while relatively small, demonstrate innovative governance. *GoodDollar* is run by a non-profit and uses smart contracts to issue a small daily income in G\$ tokens to anyone who signs up (over 300k people so far). All transactions are on the blockchain, so the system is inherently transparent[\[49\]](#). No one can receive more or less than others without it being evident. There's no "elite" controlling the disbursement on a personal level – it's coded. *Circles* takes a different approach: it creates a mutual credit network where each person's UBI is backed by trust of others, aiming for a decentralized community currency. The governance challenge there is ensuring the network grows while avoiding fake accounts, which they handle via webs of trust (people have to vouch for new joiners). These experiments show that even without government, communities are trying to design systems to equitably share wealth. If someday a government or global

institution uses blockchain for UBI, these pilots will have provided valuable lessons on identity verification, preventing Sybil attacks (fake multiple identities), and user experience. One can also mention **UBI DAO** initiatives – some blockchain enthusiasts imagine a DAO where members pool crypto assets and the returns fund a UBI for all members, governed by token-holder votes (with quadratic voting to prevent whales from dominating). This is still nascent, but it's a glimpse of how *democratic finance* could underpin a UBI.

- **Global Fund Governance Models:** While we don't yet have a global UBI, looking at global funds like the *Global Fund to Fight AIDS, TB, and Malaria* or the *Green Climate Fund* is instructive for how a worldwide basic income might be governed to avoid domination by rich countries. These funds use multi-stakeholder boards: for example, the Global Fund board has representatives from donor governments, recipient countries, civil society, and the private sector all at the table. Decisions require consensus or supermajorities, ensuring no single bloc (e.g., G7 countries) can dictate. A similar inclusive board could be envisioned for a **World Basic Income Fund** that might one day collect something like a global commons tax and disburse a basic income. Additionally, the **United Nations** could play a role – perhaps a trust fund under UN auspices with each nation getting a vote (though the UN's own power imbalances complicate that). The point is, thinking ahead, preventing elite capture globally means giving voices to the Global South, indigenous communities, and others in governance, not just the wealthy states or corporations. Rotating representation (as in UN Security Council's rotating members) or citizens' assemblies at a global scale (audacious but not impossible – some have proposed a global citizens' assembly to advise the UN) could ensure a world UBI, if it existed, wouldn't become an instrument of neo-colonial control but rather a genuine equalizer.

Each of these cases reinforces a common theme: **transparency + inclusion = resilience**. Whether through formal institutions (trusts, councils) or participatory processes and technology, making the UBI system open and involving those it serves in its governance is the best defense against the misuse of funds or policy reversals. Elite capture thrives on opacity and exclusion – when decisions happen in back rooms or technical details only experts follow, it's easy for powerful interests to sway outcomes. By contrast, shine a light on the process, give every citizen a stake and sightline, and the program becomes essentially "capture-proof." After all, UBI is meant to belong to everyone; it makes sense that *everyone should have a say* in it.

Conclusion

Designing a universal basic income for human flourishing is as much about **fair process** as it is about the money itself. On the funding side, we explored how tapping into society's broad wealth – from **AI-driven productivity** to the value of **land and natural commons** – can provide the resources needed in a just way. These mechanisms not only promise feasibility (with trillions in potential revenue) but also embody justice by redistributing income from the ownership of capital, land, and technology to the people[6][1]. Historically rooted ideas like Thomas Paine's ground rents or Henry George's land tax show that this vision of common wealth is not new, but newly relevant in an age of automation and inequality[7][28]. Each funding model has challenges – be it political opposition or implementation details – but with a mix of approaches (a “portfolio” of AI dividends, LVT, resource rents, carbon fees, etc.), a robust UBI becomes economically attainable.

Equally importantly, we must ensure that a UBI remains **universal, equitable, and shielded from capture**. Governance innovations can hard-wire these values into the program. From the **empowerment of citizens in budgeting decisions** (as seen in participatory budgeting's success in directing funds to the poor[40]) to the **harnessing of blockchain for radical transparency** (making every cent accounted for publicly[47]), the tools are at our disposal to build UBI systems that are democratic by design. Institutions like independent **oversight boards** or **basic income trusts**, combined with active civic mechanisms like **citizen assemblies** and **local councils**, ensure that UBI doesn't become a top-down charity, but rather a *common foundation* continually shaped and safeguarded by its beneficiaries – the people.

In practice, the examples of **Alaska** and **Maricá** show that when citizens feel ownership of a dividend or income program, they will defend it and help it endure[12][43]. **Porto Alegre's participatory budgeting** taught us that inclusive governance yields more equitable outcomes and curbs corruption[40]. And emerging digital UBI communities demonstrate the power of transparency and global collaboration. All these lessons point to a UBI that is not just a check in the mail, but a social institution that could *deepen democracy and promote solidarity*.

Implementing UBI at national or global scale will undoubtedly face hurdles – vested interests may resist new taxes; political ideologies will clash over giving “free money.” But by clearly linking UBI to *the dividends of progress* (be it AI or natural wealth) and by building in democratic oversight, we make the policy more palatable and resilient. A UBI funded by the commons and governed by the community can be framed not as a burden, but as **dividends of our shared prosperity** – a rightful return on the

contributions that each person, simply by being a member of society and co-owner of the planet, makes to the economy.

In conclusion, a viable and just UBI model requires marrying **innovative funding with inclusive governance**. By prioritizing funding streams like AI dividends, land value tax, and commons rents, we align UBI with fairness and sustainability. By instituting strong oversight measures – from participatory budgeting to blockchain transparency – we guard against misuse and ensure the program remains of, by, and for the people. Done right, UBI can be more than a poverty alleviation tool; it can be a foundation for human flourishing, empowering individuals not only economically but also as active citizens in shaping their collective future. Each step toward that vision, backed by evidence and examples cited in this report, brings us closer to a world where the basic economic security of all is guaranteed, and where governance truly serves the *common good*.

Sources:

- Chetan Dube, “The ‘digital dividend’: Rethinking income for the age of AI,” *Big Think*, 2023[1][3].
- Julia McCoy, “The Universal Productivity Dividend: Utopia or Answer to AI’s Rise?”, *First Movers*, 2023[23][24].
- *Progress and Poverty Institute*, “Universal Land Dividend: Why Land Value Tax and a Universal Basic Income are better together,” 2022[6][28].
- Common Wealth Canada and PolicyEngine UK analyses of LVT-funded UBI[6].
- Thomas Paine, *Agrarian Justice* (1797)[7]; Henry George, “Land and Poverty” (1888)[28] – historical foundations for land dividends.
- Chuck Collins, “The Case for a Universal Basic Income,” *Inequality.org*, 2016[66][67].
- Caroline Whyte, “CapGlobalCarbon and basic income: coupling climate action to economic empowerment,” *Feasta*, 2017.
- Justin Kenrick, “Basic income and a global commons,” *The Ecologist*, 2019[10][33].
- Oshan Jarow, “A Guide to Universal Basic Income: A Policy Long,” 2020[38][41].
- Participedia, “Participatory Budgeting in Porto Alegre,” (case study)[40].
- Tereza Bizkova & Drew Simon, “5 Ways Blockchain Makes UBI More Transparent and Scalable,” *CryptoAltruists*, 2022[47][53].
- Jain Family Institute, “Maricá Basic Income Fact Sheet,” 2022[56][57].
- Gabriel Vencioneck, “Building Local Economies: Cash transfers in Rio’s municipalities,” *IPR Blog*, Jan 2025[61][43].
- Wikipedia, “Alaska Permanent Fund” (retrieved 2025)[9][12].

[1] [3] [20] [25] [26] [27] Rethinking income for the age of AI - Big Think

<https://bigthink.com/business/the-digital-dividend-rethinking-income-for-the-age-of-ai/>

[2] Moore's Law for Everything - Sam Altman

<https://moores.samaltman.com/>

[4] [5] [6] [7] [8] [28] [29] [30] [31] Universal Land Dividend: Why Land Value Tax and a Universal Basic Income are even better together - RSF Website

<https://progressandpovertyinstitute.org/universal-land-dividend-why-land-value-tax-and-a-universal-basic-income-are-even-better-together/>

[9] [12] [13] [15] [16] [32] [62] Alaska Permanent Fund - Wikipedia

https://en.wikipedia.org/wiki/Alaska_Permanent_Fund

[10] [14] [17] [18] [19] [33] [34] [35] [36] [37] Basic income and a global commons

<https://theecologist.org/2019/aug/06/basic-income-and-global-commons>

[11] [38] [41] [42] A Guide to Universal Basic Income: A Policy Long

<https://www.oshanjarow.com/essays/guide-to-basic-income>

[21] [22] [23] [24] The Universal Productivity Dividend: Utopia or Answer to AI's Rise? - First Movers

<https://firstmovers.ai/universal-productivity-dividend/>

[39] Porto Alegre: Participatory Budgeting and the Challenge of ...

<https://www.wri.org/research/porto-alegre-participatory-budgeting-and-challenge-sustaining-transformative-change>

[40] [63] [64] Participatory Budgeting in Porto Alegre 1989-present – Participedia

<https://participedia.net/case/5524>

[43] [61] Building Local Economies: How Rio de Janeiro's municipalities are reinventing local development through cash transfers | IPR blog

<https://blogs.bath.ac.uk/iprblog/2025/01/07/building-local-economies-how-rio-de-janeiros-municipalities-are-reinventing-local-development-through-cash-transfers/>

[44] The Board of Trustees-Alaska Permanent Fund Corporation

<https://apfc.org/board-of-trustees/>

[45] APFC 2022 - Alaska Permanent Fund - IFSWF

<https://ifswf.org/assessment/apfc-2022>

[46] [PDF] HB 251: Board of Trustees of the Alaska Permanent Fund

https://www.akleg.gov/basis/get_documents.asp?session=32&docid=78527

[47] [48] [49] [50] [51] [52] [53] [54] Universal Basic Income and Crypto: 5 Ways Blockchain Makes UBI More Efficient, Transparent, and Scalable

<https://www.cryptoaltruists.com/blog/universal-basic-income-and-crypto-5-ways-blockchain-makes-ubi-more-efficient-transparent-and-scalable>

[55] How Decentralized Finance and Blockchain Can Support ... - Medium

<https://medium.com/@oriworks/how-decentralized-finance-and-blockchain-can-support-the-concept-of-universal-basic-income-52e1344cba95>

[56] [57] [58] [59] [60] Fact Sheet - August 2022

<https://jainfamilyinstitute.org/wp-content/uploads/pdf/fact-sheet-august-2022.pdf>

[65] What if Citizens Set City Budgets? An Experiment That Captivated ...

<https://www.wri.org/insights/what-if-citizens-set-city-budgets-experiment-captivated-world-participatory-budgeting>

[66] [67] The Case for a Universal Basic Income - Inequality.org

<https://inequality.org/article/argument-universal-basic-income/>